

PROVIDER SERVICES · LIFE SCIENCES & DIAGNOSTICS
MEDICAL PRODUCTS & DISTRIBUTION
PHARMACY & HEALTHCARE SERVICES

BENCHMARK® INTERNATIONAL

MIDDLE MARKET

QUARTERLY INDUSTRY REPORT | Q4 2026

HEALTHCARE

Mergers and acquisitions across provider services, life sciences, medical products, and pharmacy services.

WHAT'S INCLUDED

01	**INSIGHTS**	The state of play, market context, perspectives on four sectors, and what we are reading
02	**INDUSTRY ACTIVITY**	Market conditions, recent transactions, listed-company valuation and performance, and earnings commentary
03	**CONNECT WITH US**	The Middle Market team and Benchmark International

OCTOBER 2026 | JARED HARDIN, MANAGING DIRECTOR

01

Insights

KEY INSIGHTS

01 Strategic buyers are setting the pace

Private equity is on pace for 674 healthcare services transactions this year, the slowest since 2017. Medtech deal value reached $36.5 billion in the first half. Put strategic acquirers on every buyer list.

02 Debt costs healthcare buyers more

Direct lenders widened buyout loan spreads to an average of 509 basis points in the second quarter, from 474 in the first. Senior debt on completed middle-market deals was priced at 7.8%.

03 Recurring revenue earns the best price

The median private equity entry multiple for healthcare services was 13.6x EBITDA in 2025, weighted toward larger platforms. The best prices go to revenue that recurs under contract or clinical necessity, paid by a balanced mix of payers.

04 Plan now for 2027 rate and notice rules

Medicare proposes physician conversion factor cuts of up to 1.68% for 2027. Maine's 180-day notice and approval regime begins January 1, 2027. Model the rates and build review time into the deal calendar.



Healthcare M&A: State of Play

Strategic buyers are setting the pace in 2026 while private equity completes fewer healthcare services transactions.

M&A market conditions

- Private equity completed an estimated 337 healthcare services transactions in the first half, a pace of 674 for the year, and the slowest since 2017 (PitchBook via Fierce Healthcare).
- Strategic buyers carried more of the activity. Medtech deal value reached $36.5 billion in the first half (PwC via MedTech Dive) and health systems announced 18 transactions in the second quarter (Kaufman Hall).
- Biopharma deal value reached $130 billion in six months, almost matching the total for all of 2025 (IQVIA).

Reimbursement and policy

- Medicare has proposed 2027 physician conversion factors of $33.17 and $32.84, reductions of 1.19% and 1.68%, with the final rule pending (CMS).
- Hospital outpatient, surgery center, and home health rates are each proposed to rise 2.4% (CMS outpatient rule; CMS home health), and Medicare Advantage rates rise 2.48% (CMS rate notice).
- Medicaid work requirements and six-month eligibility reviews for expansion adults begin in 2027 (Medicaid.gov).

Financing and macro backdrop

- The Federal Reserve raised its target range to 3.75% to 4.00% on September 16 (Federal Reserve) and the 10-year Treasury yielded 5.24% on October 1 (US Treasury).
- Direct lenders widened buyout loan spreads to an average of 509 basis points in the second quarter from 474 in the first (PitchBook).
- Completed middle-market transactions in all industries averaged 7.0x EBITDA, with senior debt priced at 7.8% (GF Data via ACG).

Demand fundamentals

- National health spending grew 6.8% in the year to July 2026 and represented 18.4% of GDP (Altarum).
- CMS projects nearly $9.0 trillion of spending in 2034, or 20.6% of GDP, on average annual growth of 5.4% (CMS).
- Healthcare employers added 17,000 jobs in September against a twelve-month average of 33,000 (Bureau of Labor Statistics).

Trade and deal regulation

- A 100% default tariff applies to covered patented pharmaceuticals, with country and company exceptions and generics excluded (White House proclamation). The medical device investigation remained open in September with no tariff imposed (iData Research).
- California now requires transaction notices from private equity groups and management services organizations (Nixon Peabody), and Maine's 180-day notice and approval regime begins January 1, 2027 (BakerHostetler).

WHAT IT MEANS FOR OWNERS

Buyers are paying most readily for revenue that recurs under contract or clinical necessity and that is paid by a balanced mix of payers.

The median private equity entry multiple for healthcare services was 13.6x EBITDA in 2025, a figure weighted toward larger platforms (PitchBook via Becker's ASC Review), and 87% of sales above $5 million in all industries drew three or more offers (IBBA and M&A Source).

Figures are the latest published as of October 7, 2026, and each is linked to its source. Deal counts and values are as reported by the named publisher and are revised as transactions are confirmed.

Historical Market Context

Health spending has compounded through every cycle since 2016, and hospital transaction counts have recovered from the 2025 low.

Spending on care has grown every year for a decade, while the number of transactions has moved with financing costs and policy.

$5.3T

National health expenditures reached $5.3 trillion in 2024, or 18.0% of GDP, against $3.3 trillion in 2016 (CMS).

5.4%

CMS projects average annual spending growth of 5.4% from 2025 to 2034, against 4.1% for the economy, which would take spending to $9.0 trillion (Committee for a Responsible Federal Budget).

46

Hospitals and health systems announced 46 transactions in 2025, the fewest in the series, against 117 in 2017 (Kaufman Hall).

40

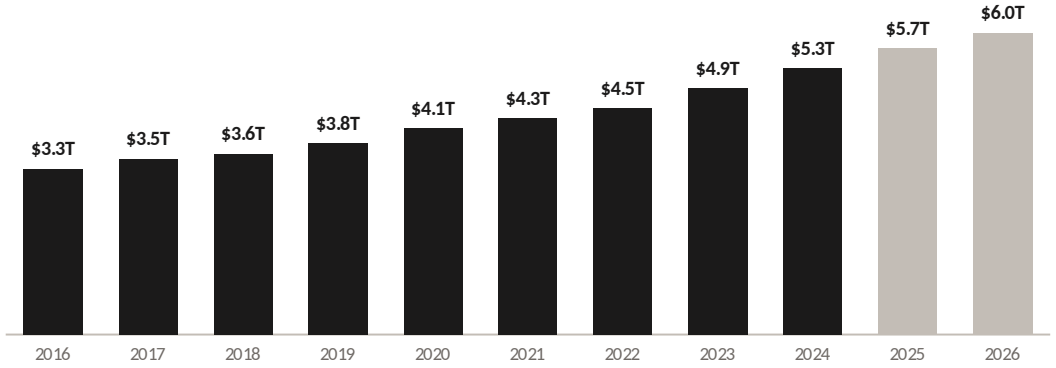
The first half of 2026 has already produced 40 announced hospital transactions, 22 in the first quarter and 18 in the second (Kaufman Hall, first quarter; second quarter).

1,217

Private equity completed 1,217 healthcare services transactions in 2021 and an estimated 747 in 2025 (PitchBook).

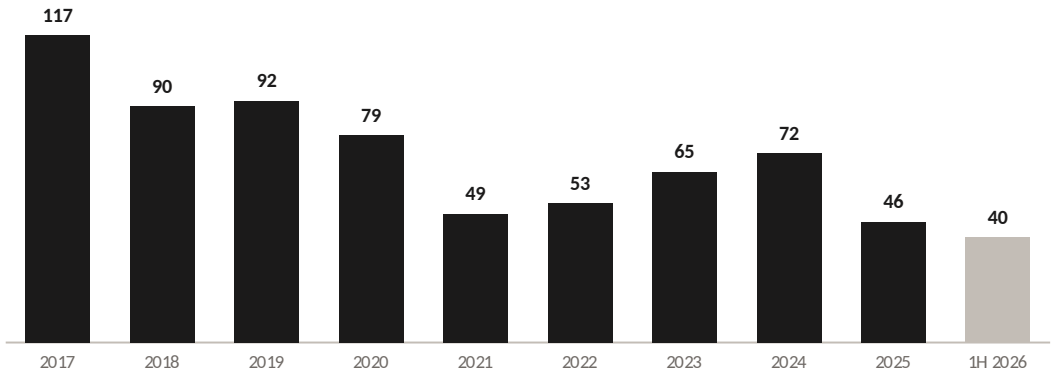
National health expenditures

$ trillions; 2025 and 2026 are CMS projections. Source: CMS; CRFB



Announced hospital and health system transactions

Number per year; 2026 covers the first half. Source: Kaufman Hall (2012 to 2022; 2025; 2026)



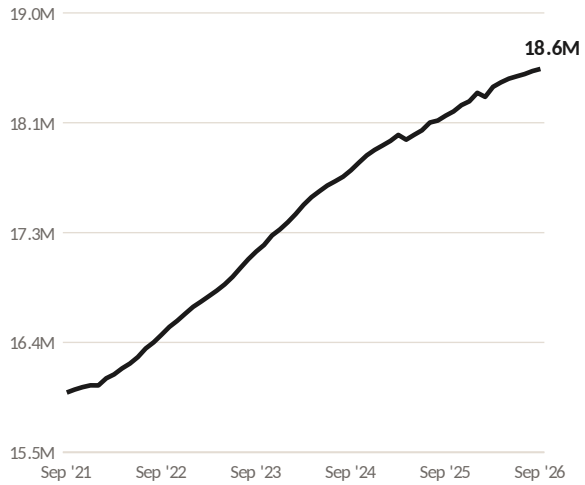
National health expenditure figures for 2016 to 2023 are drawn from CMS releases of different years, and CMS revises earlier years with each release. Transaction counts are announced transactions as tallied by Kaufman Hall.

Strong Fundamentals Support Continued Activity

Employment, capital investment, and drug approvals have all grown since 2021, which supports demand in each of the four sectors.

HEALTH CARE EMPLOYMENT KEEPS RISING

All employees, health care, millions, monthly, seasonally adjusted. Source: Bureau of Labor Statistics via FRED



- Healthcare employed 18.55 million people in September 2026, 16.1% more than in September 2021 and 2.0% more than a year earlier.
- Health care and social assistance had 1,359,000 open positions in August (Bureau of Labor Statistics JOLTS), which keeps clinician retention central to how buyers assess a provider.

CAPITAL KEEPS FLOWING INTO FACILITIES

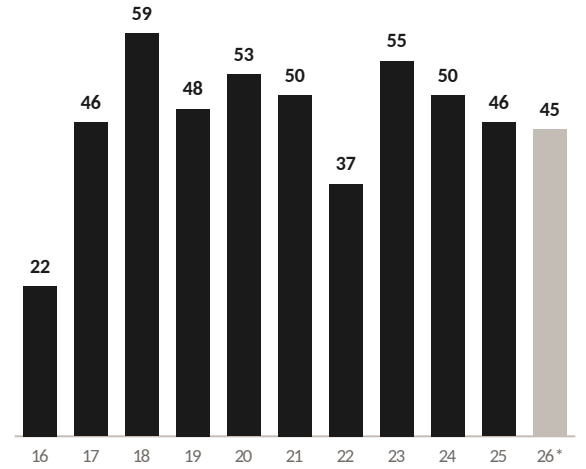
Total construction spending on health care, $ billions at an annual rate, monthly. Source: US Census Bureau via FRED



- Healthcare construction ran at an annual rate of $75.8 billion in August 2026, 49% above September 2021.
- Medical care prices rose 13.0% over the same period on the consumer price index (FRED), so part of the increase reflects higher costs.

DRUG APPROVALS HAVE RECOVERED

Novel drugs approved by the FDA Center for Drug Evaluation and Research, by year. Source: FDA; RAPS



- The FDA approved 46 novel drugs in 2025 and 45 in 2026 through September 28, after a low of 37 in 2022.
- Outsourced research has recovered alongside approvals, with IQVIA booking $1.22 of new work for each dollar of revenue in the second quarter (IQVIA).

* 2026 covers approvals through September 28. Employment and construction series run from September 2021 to the latest month published as of October 7, 2026. Approval counts for 2016 to 2021 and 2024 are as reported by RAPS and US Pharmacist from FDA data.

Perspectives on Four Sectors

Each sector has its own buyers and drivers. This page covers providers, laboratories, and research services.

PROVIDER SERVICES

Health systems are buying access points and sponsors are trading platforms.

BUSINESSES WE COVER

Urgent care, Optometry & eye care, Pediatric & physical therapy, Multi-specialty medical groups, Emergency medical services, Renal care



KEY TRENDS

- The 100 largest urgent care operators hold 6,056 of the country's 14,655 centers, and 55.9% of those locations are affiliated with a hospital (Journal of Urgent Care Medicine).
- HCA Healthcare acquired 70 urgent care centers in three 2026 transactions (Becker's ASC Review; Healthcare Dive).
- Care in the home drew the largest provider transactions of the year, including Kinderhook's agreement to take Enhabit private at about $1.1 billion (HLTH).
- Independent practice continues to shrink, and 42.2% of physicians work in physician-owned practices against 60.1% in 2012 (AMA survey via Medical Economics).

ACTIVE BUYERS

HCA Healthcare, MyEyeDr., U.S. Physical Therapy, Addus HomeCare, Concentra, Kinderhook, and Universal Health Services

LISTED REFERENCE COMPANIES

HCA | THC | USPH | DVA | ADUS | PNTG | ACHC | LFST | PRVA | CON | ENSG

LIFE SCIENCES & DIAGNOSTICS

Research spending has turned up and laboratories are selling to the national networks.

BUSINESSES WE COVER

Clinical & pathology labs, Biologics & reagents, Clinical research sites, Human-factors & device design



KEY TRENDS

- Quest grew revenue 10.2% in the second quarter on 13.1% more requisitions (Quest Diagnostics), and Labcorp spent $528.6 million on acquisitions in the first half (Labcorp Form 10-Q).
- Medicare laboratory fee cuts of up to 15% a year could resume in 2027 unless Congress passes the RESULTS Act (Association for Diagnostics & Laboratory Medicine).
- Outsourced research has recovered, with IQVIA's net bookings up 19% (IQVIA) and Medpace growing revenue 17.2% (Medpace).
- Sponsor-backed networks continue to buy clinical research sites, including Headlands Research in California and Summit Clinical Research in Dallas (Headlands Research; Summit Clinical Research).

ACTIVE BUYERS

Labcorp and Quest for laboratories; Thermo Fisher, Danaher, Agilent, and Merck KGaA for tools and reagents; Headlands Research and Summit Clinical Research for sites

LISTED REFERENCE COMPANIES

LH | DGX | TMO | DHR | TECH | IQV | MEDP | ICLR | CRL

Sectors and the businesses listed under each follow the Middle Market team's healthcare coverage. Buyers named are examples drawn from 2026 transactions and results. Tickers identify the listed reference companies on the valuation pages.

Perspectives on Four Sectors

Each sector has its own buyers and drivers. This page covers products, distribution, pharmacy, and staffing.

MEDICAL PRODUCTS & DISTRIBUTION

Procedure demand is firm and consumables are outgrowing capital equipment.

BUSINESSES WE COVER

Surgical instrument reprocessing, Emergency medical supplies, Respiratory & anesthesia products, Dental devices, Orthopedic products



KEY TRENDS

- Stryker grew 9.0% organically in the second quarter (Stryker), and Steris grew healthcare consumables 9% while capital equipment grew 1% (Steris).
- Among health system executives, 41% plan to cut capital spending in 2026 (HFMA), which favors suppliers of recurring products.
- Several of the largest distribution businesses changed ownership, including Owens & Minor's products segment and a 13% interest in McKesson's medical-surgical unit (Owens & Minor; McKesson).
- Tariffs have moved earnings in both directions since the Supreme Court struck down the emergency-powers tariffs in February (Barnes Dennig).

ACTIVE BUYERS

KKR, Danaher, Stryker, Mitsui Chemicals, Cardinal Health, Aspen Surgical, Platinum Equity, and Apollo

LISTED REFERENCE COMPANIES

SYK STE TFX HSIC XRAY NVST ZBH ITGR SOLV VMD

PHARMACY & HEALTHCARE SERVICES

Drug pricing reform is reshaping pharmacy while staffing returns to growth.

BUSINESSES WE COVER

Specialty & mail-order pharmacy, Home infusion, Pharmaceutical delivery, Clinical staffing



KEY TRENDS

- US net medicine spending reached $606 billion in 2025, up 10.6% (IQVIA Institute), while independent pharmacies reported their lowest gross profit in ten years (NCPA Digest).
- Negotiated Medicare prices have hit hardest in long-term care pharmacy, where Guardian grew revenue 2% while serving 8% more residents (Guardian Pharmacy Services).
- Specialty and infusion are growing fastest, and BrightSpring's specialty and infusion revenue rose 30% to $2.9 billion (BrightSpring).
- Healthcare staffing is forecast to grow 1% to $39.0 billion in 2026 after three years of contraction (Staffing Industry Analysts).

ACTIVE BUYERS

Guardian Pharmacy Services, Cencora, Cardinal Health, and McKesson; Knox Lane, JLL Partners, and VeloSource in staffing and logistics; Strata Critical Medical in perfusion

LISTED REFERENCE COMPANIES

OPCH BTSG GRDN MCK COR CAH CVS AMN

What We're Reading

Primary sources and trade reporting from the third quarter.

What We're Reading

Four pieces from the third quarter, one for each sector, with the passage we marked and what it means for an owner.

FIERCE HEALTHCARE | PROVIDER SERVICES — August 19, 2026

Projected healthcare services deal count to be lowest since 2017, PitchBook finds

> *"It's hard to imagine that things stay at such a depressed level. We expect mean reversion going forward."*
>
> Brian Wright, lead research analyst of healthcare at PitchBook

Our read. Private equity is on pace for 674 healthcare services transactions in 2026 after an estimated 337 in the first half. The analyst behind the count expects activity to return toward its longer-run level.

READ HERE

IQVIA | LIFE SCIENCES & DIAGNOSTICS — July 8, 2026

Biopharma M&A: Mid-year 2026 update

> *"After the first six months of 2026, aggregate M&A deal value has already reached $130Bn, almost matching the full-year total for 2025, with a year-to-date deal count of 42, or 84% of the 2025 total."*
>
> IQVIA Global Thought Leadership

Our read. The count covers acquisitions of $250 million or more, so it describes the largest buyers. Their spending supports demand for the research, laboratory, and manufacturing services that founder-owned companies supply.

READ HERE

MEDTECH DIVE | MEDICAL PRODUCTS & DISTRIBUTION — July 6, 2026

Top 10 medtech deals in the first half of 2026

> *"Medtech dealmakers remained busy over the first half of 2026, building on the decade-high M&A activity achieved last year with a string of deals worth upward of $1 billion."*
>
> MedTech Dive

Our read. PwC counted $36.5 billion of medtech acquisitions in the first half. The largest were Boston Scientific's $14.5 billion purchase of Penumbra and Danaher's $9.9 billion purchase of Masimo.

READ HERE

DRUG CHANNELS | PHARMACY & HEALTHCARE SERVICES — August 11, 2026

The K-Shaped Pharmacy Shakeout: Consolidation in Cities, Lost Access in Rural America

> *"The United States has almost 8,000 fewer retail pharmacies than it did in 2018, and more than 2,000 closed in 2025 alone."*
>
> Bryce Platt, PharmD, Drug Channels

Our read. Prescription dispensing revenues reached a record $751 billion in 2025, up 10%, while the number of pharmacies fell. Scale, specialty mix, and payer contracts decide which pharmacies remain attractive to a buyer.

READ HERE

Quotations are reproduced as published. The Fierce Healthcare quotation joins two consecutive sentences spoken by the analyst. The IQVIA and MedTech Dive passages are the publications' own text.

02

Industry Activity

- Momentum in healthcare services transactions
- Select market participants
- Select recent M&A transactions
- Benchmark International transactions
- Public companies: valuation, performance, and metrics
- Earnings and commentary



Healthcare Services Deal Volume Has Reset

Private equity completed 1,217 healthcare services transactions in 2021 and is on pace for 674 in 2026, the fewest since 2017.

2017 to 2019

Steady platform building

Private equity completed between 490 and 684 healthcare services transactions a year, and hospitals announced 117 transactions in 2017 and 92 in 2019.

2020 to 2021

The peak

Volume rose to 829 in 2020 and 1,217 in 2021, the highest in the series.

2022 to 2024

Three years of decline

Annual volume fell from 998 to 682. The Medicare conversion factor fell from $34.61 in 2022 to $32.35 in 2025 (AMA).

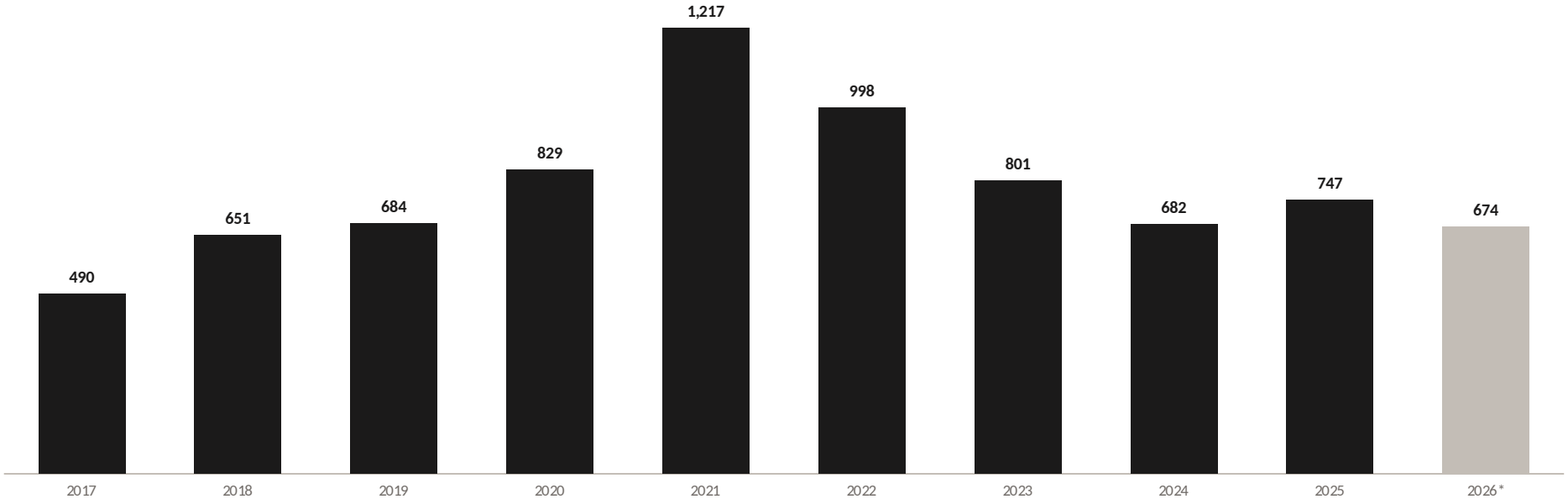
2025 to 2026

Strategic buyers lead

Volume recovered to an estimated 747 in 2025. The first half of 2026 produced an estimated 337, while medtech deal value reached $36.5 billion and biopharma deal value reached $130 billion.

US private equity healthcare services transactions

Announced or closed transactions per year. Source: PitchBook, Q4 2025 Healthcare Services Report; 2026 from PitchBook via Fierce Healthcare



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* 2026 is the annualized pace of an estimated 337 transactions in the first half. Annual counts are the chart labels in PitchBook's Q4 2025 report, and PitchBook restates earlier years as late-reported transactions are added. The 2025 count is an estimate.

Healthcare Market: Select Participants

The listed reference companies in each sector and the private platforms, sponsors, and strategic buyers acquiring founder-owned businesses.

PROVIDER SERVICES

LISTED COMPANIES

HCA	HCA Healthcare
THC	Tenet Healthcare
USPH	U.S. Physical Therapy
DVA	DaVita
ADUS	Addus HomeCare
PNTG	Pennant Group
ACHC	Acadia Healthcare
LFST	LifeStance Health
PRVA	Privia Health
CON	Concentra
ENSG	Ensign Group

PLATFORMS, SPONSORS AND HEALTH SYSTEMS

HCA Healthcare urgent care · MyEyeDr. · EyeCare Partners · Kinderhook (Enhabit) · Universal Health Services · ACES (General Atlantic) · MKH Capital Partners · Grant Avenue Capital · Global Medical Response

LIFE SCIENCES & DIAGNOSTICS

LISTED COMPANIES

LH	Labcorp
DGX	Quest Diagnostics
TMO	Thermo Fisher Scientific
DHR	Danaher
TECH	Bio-Techne
IQV	IQVIA
MEDP	Medpace
ICLR	ICON
CRL	Charles River Laboratories

RESEARCH NETWORKS AND STRATEGIC BUYERS

Headlands Research (THL) · Summit Clinical Research · Worldwide Clinical Trials · Fortrea · Resonetics · Agilent · Merck KGaA · Leica Biosystems (Danaher)

MEDICAL PRODUCTS & DISTRIBUTION

LISTED COMPANIES

SYK	Stryker
STE	Steris
TFX	Teleflex
HSIC	Henry Schein
XRAY	Dentsply Sirona
NVST	Envista
ZBH	Zimmer Biomet
ITGR	Integer Holdings
SOLV	Solventum
VMD	Viemed Healthcare

SPONSORS AND PRODUCT STRATEGICS

KKR · Mitsui Chemicals · Aspen Surgical · Platinum Equity · Hanger (Patient Square Capital) · Apollo · Medline · Intersurgical · Montagu and Kohlberg

PHARMACY & HEALTHCARE SERVICES

LISTED COMPANIES

OPCH	Option Care Health
BTSG	BrightSpring
GRDN	Guardian Pharmacy Services
MCK	McKesson
COR	Cencora
CAH	Cardinal Health
CVS	CVS Health
AMN	AMN Healthcare

PHARMACY, STAFFING AND LOGISTICS BUYERS

Knox Lane · JLL Partners · Soleo Health · GenieRx Holdings · Strata Critical Medical · VeloSource (Interlock Equity) · Care Career · Elite365

Listed companies are the reference set for the valuation pages and each links to its data page. Private participants are buyers named in 2026 transactions. The list is a selection.

Select Recent Healthcare M&A Transactions

Six transactions announced or completed between June and September 2026, with at least one from each sector.

SEPTEMBER 2026 — PROVIDER SERVICES

EYECARE PARTNERS OPTOMETRY — ACQUIRED BY — MYEYEDR.

MyEyeDr. agrees to buy the optometry business of EyeCare Partners

The business has more than 300 offices, and EyeCare Partners will apply the proceeds to debt reduction. Closing is expected in the fourth quarter (EyeCare Partners).

WHAT IT SHOWS Scaled eye care platforms are combining, and sellers are using proceeds to reduce debt.

SEPTEMBER 2026 — PROVIDER SERVICES

ACCENTCARE PERSONAL CARE — ACQUIRED BY — ADDUS HOMECARE

Addus HomeCare agrees to buy AccentCare's personal care division

Addus will pay about $275 million for a division with about $280 million of annual revenue in ten states (Addus HomeCare).

WHAT IT SHOWS Listed home care operators are paying about one times revenue for personal care scale.

JUNE 2026 — LIFE SCIENCES & DIAGNOSTICS

BIO-TECHNE — ACQUIRED BY — MERCK KGAA

Merck KGaA agrees to acquire Bio-Techne

The agreement values the reagent and instrument maker at an enterprise value of $11.3 billion, with closing expected by early 2027 (Bio-Techne).

WHAT IT SHOWS Strategic buyers are paying for recurring consumables and reagents.

SEPTEMBER 2026 — LIFE SCIENCES & DIAGNOSTICS

STATLAB — ACQUIRED BY — DANAHER (LEICA BIOSYSTEMS)

Leica Biosystems buys StatLab from Audax and Linden

StatLab makes anatomic pathology consumables and had about $250 million of 2025 revenue. Its sponsors built it through nine add-on acquisitions in five years (PE Professional).

WHAT IT SHOWS A platform assembled from founder-owned businesses became a strategic acquisition.

AUGUST 2026 — MEDICAL PRODUCTS & DISTRIBUTION

INTEGER HOLDINGS — ACQUIRED BY — KKR

KKR agrees to take Integer Holdings private

The offer of $127 a share values the contract manufacturer at $5.7 billion, a 51.8% premium (Medical Design & Outsourcing).

WHAT IT SHOWS Sponsors are buying medical device manufacturing platforms at scale.

JULY 2026 — PHARMACY & HEALTHCARE SERVICES

CROSS COUNTRY HEALTHCARE — ACQUIRED BY — KNOX LANE

Knox Lane completes its purchase of Cross Country Healthcare

Knox Lane paid $437 million, or $13.25 a share, after Aya Healthcare ended an agreement at $18.61 following an extended FTC review (Staffing Industry Analysts; Fierce Healthcare).

WHAT IT SHOWS Regulatory review can change the buyer and the price of a scale merger.

Terms are as disclosed by the parties or reported by the linked source. Benchmark International did not advise on these transactions.

Benchmark International's Healthcare Transactions

Pharmacy and healthcare services leads with five closed transactions, life sciences and diagnostics follows with four, and most buyers were operating companies.

TRAILING 24 MONTHS

12

transactions closed in these four sectors

39

further engagements in progress as of October 1, 2026, of which 20 are on the market

6 of 9

named sellers were bought by an operating company

Ranked the leading privately owned sell-side M&A advisor in the world in PitchBook's Q2 2026 Global League Tables (Benchmark International).

PRECISE BIOSCIENCE

HAS BEEN ACQUIRED BY

NEW HORIZON MEDICAL SOLUTIONS

Amniotic membrane allografts for wound care and sports medicine

LIFE SCIENCES & DIAGNOSTICS

FORMULATION TECHNOLOGY

HAS BEEN ACQUIRED BY

AAVIN PRIVATE EQUITY

Contract manufacturer of nutritional supplements

LIFE SCIENCES & DIAGNOSTICS

FAST RESPONSE ON-SITE TESTING

HAS BEEN ACQUIRED BY

RELENTLESS HEALTH

Mobile occupational health testing

LIFE SCIENCES & DIAGNOSTICS

CRITICAL ENVIRONMENTS PROFESSIONALS, CERTIFICATION DIVISION

HAS BEEN ACQUIRED BY

SCIENTIFIC SAFETY ALLIANCE

Certification testing for pharmacy compounding spaces, laboratories, and bio-containment facilities

LIFE SCIENCES & DIAGNOSTICS

DENTAL HOLDINGS LLC

HAS BEEN ACQUIRED BY

Solmetex

Patent holder and brand owner of ReLeaf hands-free dental suction devices

MEDICAL PRODUCTS & DISTRIBUTION

FOSTERBRIDGE

HAS BEEN ACQUIRED BY

AMIVIE

In-home care for Ohio Medicaid waiver participants

PROVIDER SERVICES

MEDICAL TEMPS

HAS BEEN ACQUIRED BY

HEALTH ADVOCATES NETWORK

Nurse staffing for healthcare facilities in northern Louisiana

PHARMACY & HEALTHCARE SERVICES

THE BROOKS GROUP AND ASSOCIATES

HAS BEEN ACQUIRED BY

A GROUP OF PRIVATE INVESTORS

Training, research, and instructional design for pharmaceutical, biotech, and device companies

PHARMACY & HEALTHCARE SERVICES

FITZGERALD ENTERPRISES

HAS BEEN ACQUIRED BY

AN UNDISCLOSED BUYER

Healthcare executive and clinical placement

PHARMACY & HEALTHCARE SERVICES

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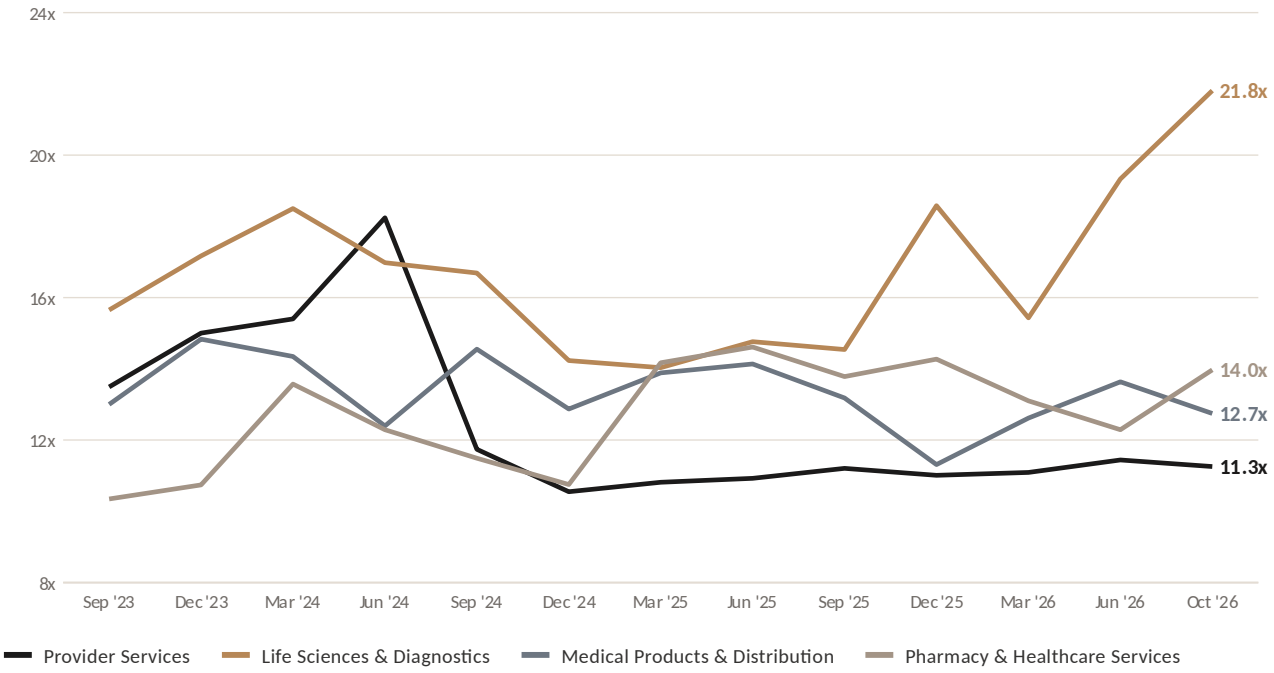
Transactions closed in the trailing 24 months on which Benchmark International advised the seller, as announced at benchmarkintl.com. Nine of the twelve are shown; buyers appear as announced. Engagements in progress are counted in aggregate.

Valuation Multiples Have Shifted by Sector

Life sciences and diagnostics companies re-rated from 14.5x to 21.8x EBITDA in a year, while the other three sectors trade within about one turn of a year ago.

Enterprise value to trailing EBITDA, median by sector

Quarter-end values from September 2023 and the latest value in October 2026; the same companies at each point, where a multiple was available



MEDIAN EV TO TRAILING EBITDA	A YEAR AGO	TODAY	THREE-YEAR MEDIAN	COMPANIES
Provider Services	11.2x	**11.3x**	12.9x	8 of 11
Life Sciences & Diagnostics	14.5x	**21.8x**	15.7x	9 of 9
Medical Products & Distribution	13.2x	**12.7x**	13.8x	10 of 10
Pharmacy & Healthcare Services	13.8x	**14.0x**	12.7x	7 of 8

PRIVATE-MARKET REFERENCE POINTS

13.6x

Median EBITDA multiple private equity paid for healthcare services companies in 2025, weighted toward larger platforms (PitchBook via Becker's ASC Review)

7.0x

Average for completed middle-market transactions in all industries, second quarter of 2026 (GF Data via ACG)

5.8x

Median for transactions of $5 million to $50 million in all industries, second quarter of 2026 (IBBA and M&A Source)

Listed multiples describe companies many times larger than a founder-owned business. They show relative standing among the sectors, and a private company's price is set by its own earnings, growth, and risk.

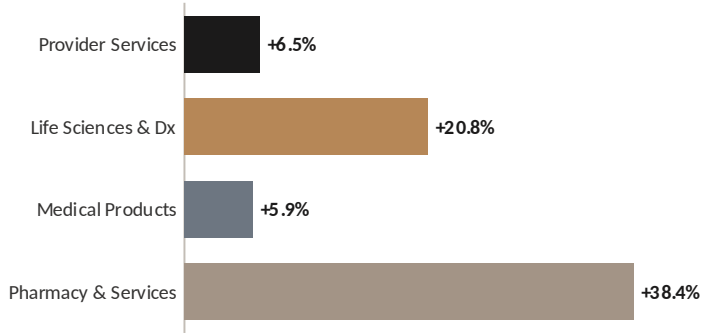
Source: StockAnalysis, retrieved October 7, 2026. Multiples use reported EBITDA. Medians cover companies with a multiple between zero and 60x today, a year ago, and in at least eight of the past twelve quarters. Bio-Techne and Integer Holdings trade at agreed acquisition prices.

Public Company Stock Performance: Past 12 Months

Pharmacy and healthcare services shares rose 38% at the median and life sciences shares rose 21%, while provider and medical products shares rose about 6%.

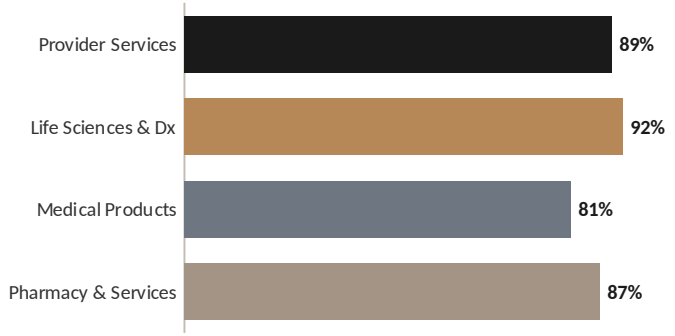
Share price change, past 52 weeks

Median of the listed companies in each sector



Share price relative to the 52-week high

Median of the listed companies in each sector



Shares rose over the year at 29 of the 38 companies: 7 of 11 provider companies, 8 of 9 life sciences and diagnostics companies, 6 of 10 medical products companies, and 8 of 8 pharmacy and healthcare services companies.

LARGEST GAINS, 52 WEEKS

BTSG	BrightSpring	+124.8%
LFST	LifeStance Health	+123.4%
AMN	AMN Healthcare	+85.2%
GRDN	Guardian Pharmacy Services	+76.2%
CON	Concentra	+74.5%
CRL	Charles River Laboratories	+72.0%
PNTG	Pennant Group	+56.1%
CAH	Cardinal Health	+51.7%
DVA	DaVita	+37.4%
VMD	Viemed Healthcare	+31.8%
THC	Tenet Healthcare	+27.3%
DGX	Quest Diagnostics	+26.6%
HSIC	Henry Schein	+26.4%
IQV	IQVIA	+25.8%
MCK	McKesson	+25.1%
ITGR	Integer Holdings	+22.9%

DECLINES, 52 WEEKS

XRAY	Dentsply Sirona	−27.0%
SYK	Stryker	−23.5%
ICLR	ICON	−16.6%
PRVA	Privia Health	−15.5%
STE	Steris	−13.6%
ZBH	Zimmer Biomet	−11.0%
USPH	U.S. Physical Therapy	−5.1%
ADUS	Addus HomeCare	−1.6%
ENSG	Ensign Group	−1.4%

Source: StockAnalysis, retrieved October 7, 2026; prices are from October 2 to October 7. Price change excludes dividends. Bio-Techne and Integer Holdings trade near agreed acquisition prices.

Public Company Operating and Valuation Metrics

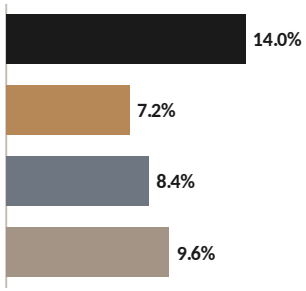
Provider companies are growing fastest, life sciences and diagnostics earns the highest margins and multiples, and pharmacy trades on thin margins.

Provider Services | Life Sciences & Diagnostics | Medical Products & Distribution | Pharmacy & Healthcare Services

OPERATING METRICS

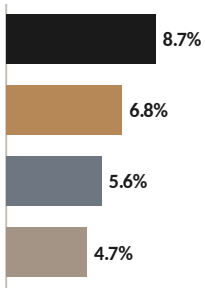
Revenue growth, trailing twelve months

Median, year over year, including acquisitions



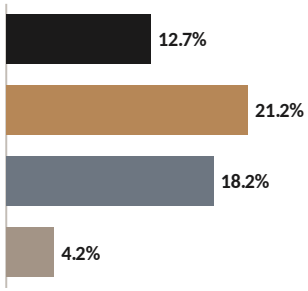
Revenue growth, analyst consensus

Median estimate for the current fiscal year



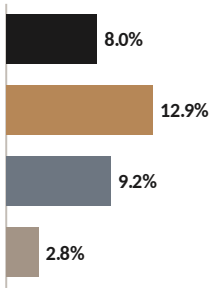
EBITDA margin, trailing twelve months

Median, on reported EBITDA



Free cash flow margin

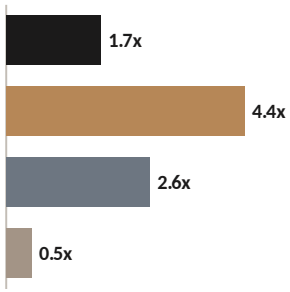
Median, trailing twelve months



VALUATION METRICS

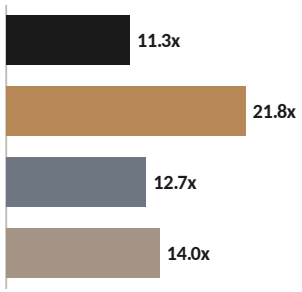
EV to trailing revenue

Median



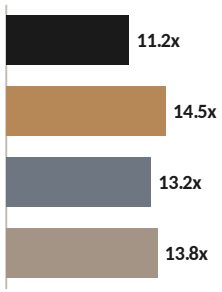
EV to trailing EBITDA

Median, companies with comparable history



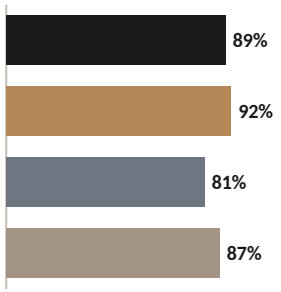
EV to trailing EBITDA, a year ago

Median, same companies



Share price relative to 52-week high

Median



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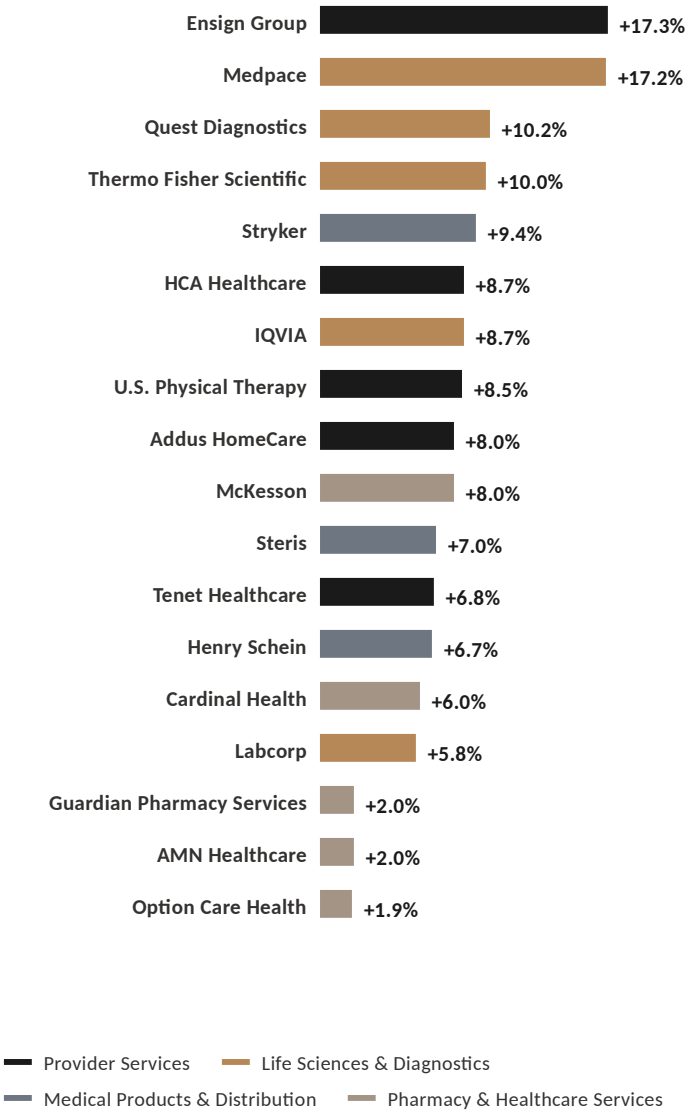
Source: StockAnalysis, retrieved October 7, 2026. Bars in each panel run in the order of the key. Consensus growth is the analyst estimate for each company's current fiscal year, and fiscal years differ. Forward multiples require a licensed data source and are not shown. Company detail is in the appendix.

Earnings and Commentary

Skilled nursing and research services grew fastest in the latest quarter, laboratories and device makers grew 6% to 10%, and pharmacy and staffing grew 2%.

Revenue growth, latest reported quarter

Year over year, as stated in each earnings release; quarters ended June 2026



PROVIDER SERVICES

"We continue to see opportunities that include everything from larger portfolios, landlords looking to replace current tenants, non-profits looking to divest of their post-acute assets and a steady flow of traditional one-sie two-sies."

Barry Port, Chief Executive Officer, The Ensign Group

PROVIDER SERVICES

"Recently, we have begun to see an increasing number of personal care opportunities, which we will be actively pursuing. Since the announcement of the 2027 proposed home health rule rate, there is more optimism around potential deals in skilled home health care."

Dirk Allison, Chairman and Chief Executive Officer, Addus HomeCare

LIFE SCIENCES & DIAGNOSTICS

"Hospitals continue to contend with workforce, financial and other pressures. As a preferred strategic partner, we empower hospitals to improve quality, expand access to new test innovations, and maximize cost efficiencies and capital allocation."

Jim Davis, Chairman, CEO, and President, Quest Diagnostics

LIFE SCIENCES & DIAGNOSTICS

"As you know, our capital deployment strategy continues to prioritize strategic M&A, complemented by return of capital to our shareholders. We continue to have an active pipeline of M&A opportunities in our highly fragmented industry."

Marc Casper, CEO, Thermo Fisher Scientific

MEDICAL PRODUCTS & DISTRIBUTION

"When you talk about onshoring, it's not just a move to the U.S. There's localization going on globally as tariffs become more of a play in Europe and in the U.S. You'll see some duplication of manufacturing sites, whereas maybe in the past, you might have one site globally that is focusing on one pharmaceutical product."

Dan Carestio, President and CEO, STERIS

MEDICAL PRODUCTS & DISTRIBUTION

"We also have a leading position in the fast-growing DSO segment of the market, which is driven especially by the middle market segment. As these DSOs continue to consolidate the dental market, this structural advantage should allow us to outgrow the broader dental market."

Fred Lowery, Chief Executive Officer, Henry Schein

PHARMACY & HEALTHCARE SERVICES

"We are uniquely positioned to capitalize on the continued growth from these fast-growing categories, especially in the areas of urology, oncology, and neurology"

Jason Hollar, CEO, Cardinal Health

PHARMACY & HEALTHCARE SERVICES

"I think the market, as we've talked about over the last year, there's been an expectation there'd be more consolidation that would occur. Quite honestly, most of last year it was relatively quiet. There were a few transactions in certain categories, not as many as we expected. That's changed over the last couple of quarters. We're starting to see more assets come to market."

Brian Scott, CFO & COO, AMN Healthcare

03

Connect With Us

- Connect with Jared Hardin
- The Middle Market team
- Benchmark International
- Important disclosures, appendix, and sources



Connect With Us

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Jared Hardin

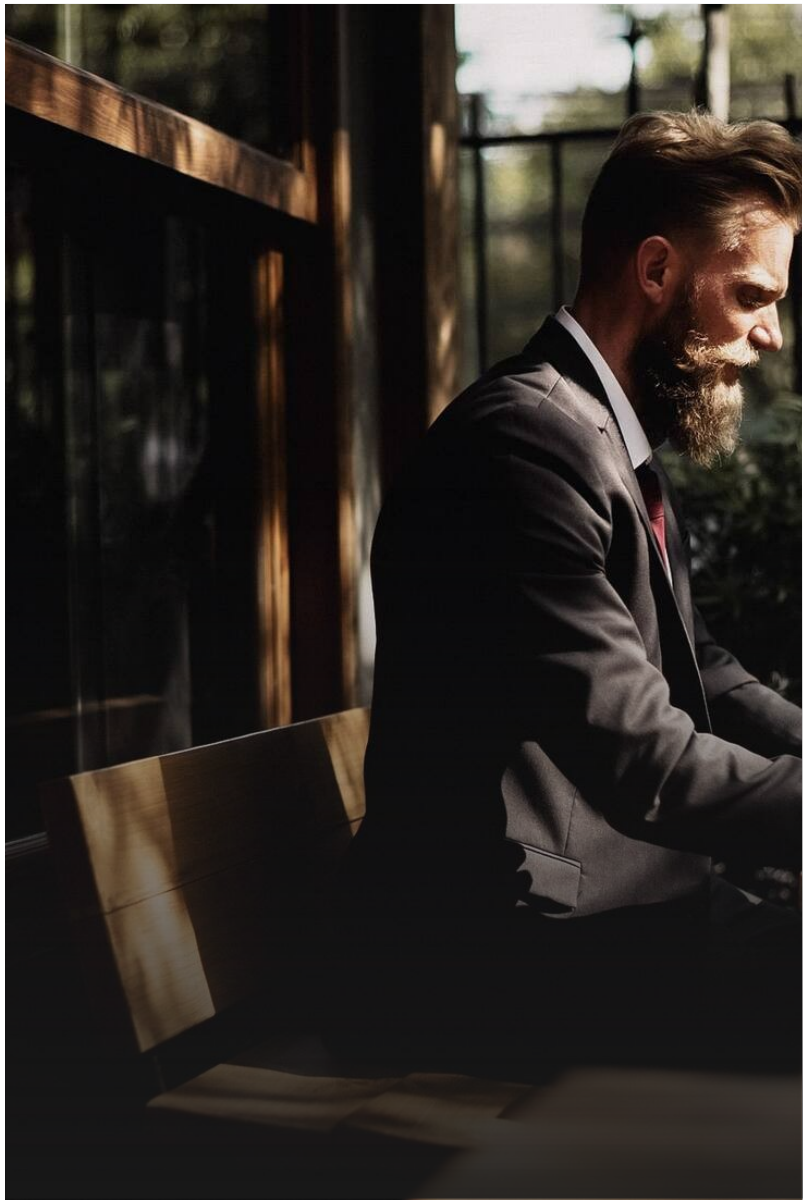
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The Middle Market team leads each engagement from the first conversation through signing and closing.

Middle Market

Benchmark International's Middle Market team represents owners of privately held companies with $50 million to $500 million of total enterprise value on strategic sales, mergers, and qualifying change-of-control transactions.

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Josiah Warren
Transaction Support Associate



Luke Ernst
Deal Analyst

HEALTHCARE COVERAGE

- Provider Services
- Medical Products & Distribution
- Life Sciences & Diagnostics
- Pharmacy & Healthcare Services

Benchmark International

The world's leading privately owned sell-side M&A advisor, with its Middle Market team focused on five industries.

BENCHMARK® INTERNATIONAL

The Middle Market team, part of Benchmark International, advises owners of privately held companies across five industries on strategic sales, mergers, and qualifying change-of-control transactions.

#1

Privately owned sell-side M&A advisor worldwide, based on PitchBook's Q2 2026 Global League Tables

$50M to $500M

Total enterprise value range the Middle Market team serves

5

Focused industry groups with dedicated expertise

15

Global offices across the Americas, Europe, and Africa

RECOGNITION

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FIVE INDUSTRY GROUPS

- INDUSTRIALS
- BUSINESS SERVICES
- CONSUMER
- HEALTHCARE
- TECHNOLOGY

Ranking based on PitchBook's Q2 2026 Global League Tables, as published at benchmarkintl.com. Awards as shown on the Middle Market site.

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Appendix: Public Market Operating and Valuation Metrics

As of October 7, 2026. Provider Services and Life Sciences & Diagnostics.

COMPANY	MARKET CAP ($M)	ENTERPRISE VALUE ($M)	% OF 52-WEEK HIGH	52-WEEK PRICE CHANGE	REVENUE GROWTH, LTM	GROSS MARGIN, LTM	EBITDA MARGIN, LTM	EV / LTM REVENUE	EV / LTM EBITDA	EV / EBITDA A YEAR AGO
PROVIDER SERVICES										
HCA Healthcare HCA	93,570	143,990	78%	+0.6%	7.3%	42.6%	20.2%	1.85x	9.1x	9.8x
Tenet Healthcare THC	20,810	31,890	91%	+27.3%	5.4%	41.7%	22.2%	1.46x	6.6x	7.7x
U.S. Physical Therapy USPH†	1,250	1,610	90%	−5.1%	11.4%	21.5%	12.7%	2.01x	15.9x	n.a.
DaVita DVA	11,350	24,070	72%	+37.4%	6.5%	32.4%	20.2%	1.73x	8.6x	8.8x
Addus HomeCare ADUS	2,070	2,080	91%	−1.6%	15.9%	32.0%	10.9%	1.41x	13.0x	14.5x
Pennant Group PNTG	1,410	1,890	94%	+56.1%	37.9%	19.6%	6.8%	1.72x	25.4x	23.6x
Acadia Healthcare ACHC	2,690	5,110	81%	+6.5%	4.3%	41.1%	15.9%	1.51x	9.5x	10.5x
LifeStance Health LFST†	4,620	4,870	89%	+123.4%	20.4%	33.6%	8.5%	3.08x	36.1x	38.0x
Privia Health PRVA†	2,610	2,210	71%	−15.5%	24.1%	10.0%	2.4%	0.93x	38.7x	73.0x
Concentra CON	4,620	6,600	99%	+74.5%	14.0%	29.3%	20.2%	2.89x	14.3x	11.9x
Ensign Group ENSG	9,990	11,920	79%	−1.4%	18.9%	16.6%	10.6%	2.18x	20.5x	22.8x
Median			**89%**	**+6.5%**	**14.0%**	**32.0%**	**12.7%**	**1.73x**	**11.3x**	**11.2x**
LIFE SCIENCES & DIAGNOSTICS										
Labcorp LH	25,030	31,710	90%	+11.4%	7.3%	28.9%	16.2%	2.21x	13.7x	14.5x
Quest Diagnostics DGX	25,210	30,990	92%	+26.6%	9.9%	33.2%	19.6%	2.68x	13.7x	12.8x
Thermo Fisher Scientific TMO	242,770	281,250	95%	+20.9%	7.2%	41.0%	25.3%	6.07x	24.0x	18.6x
Danaher DHR	151,570	175,080	89%	+0.3%	4.6%	58.8%	32.0%	6.97x	21.8x	19.3x
Bio-Techne TECH	11,350	11,380	100%	+20.8%	-0.4%	66.2%	27.5%	9.36x	34.0x	27.3x
IQVIA IQV	42,790	56,970	94%	+25.8%	8.2%	33.0%	17.9%	3.35x	18.7x	13.5x
Medpace MEDP	17,320	16,960	92%	+16.5%	24.7%	72.3%	22.0%	6.10x	27.8x	27.2x
ICON ICLR	12,480	15,080	79%	−16.6%	3.3%	23.9%	6.3%	1.83x	29.0x	13.2x
Charles River Laboratories CRL	14,560	17,400	92%	+72.0%	-0.7%	34.6%	21.2%	4.35x	20.5x	11.7x
Median			**92%**	**+20.8%**	**7.2%**	**34.6%**	**21.2%**	**4.35x**	**21.8x**	**14.5x**

Source: StockAnalysis, retrieved October 7, 2026. LTM is the trailing twelve months. EBITDA is as reported. † Excluded from the EV to EBITDA medians because the multiple is above 60x, negative, or lacks eight quarters of history. n.a. marks a figure distorted by a divestiture.

Appendix: Public Market Operating and Valuation Metrics

As of October 7, 2026. Medical Products & Distribution and Pharmacy & Healthcare Services. The total covers all 38 companies.

COMPANY	MARKET CAP ($M)	ENTERPRISE VALUE ($M)	% OF 52-WEEK HIGH	52-WEEK PRICE CHANGE	REVENUE GROWTH, LTM	GROSS MARGIN, LTM	EBITDA MARGIN, LTM	EV / LTM REVENUE	EV / LTM EBITDA	EV / EBITDA A YEAR AGO
MEDICAL PRODUCTS & DISTRIBUTION										
Stryker SYK	106,160	118,130	70%	−23.5%	8.5%	65.6%	28.6%	4.59x	16.1x	23.7x
Steris STE	20,330	21,890	77%	−13.6%	8.4%	44.4%	27.2%	3.63x	13.3x	16.9x
Teleflex TFX	5,260	7,870	86%	+0.2%	n.a.	55.1%	17.9%	3.49x	19.5x	19.4x
Henry Schein HSIC	9,330	12,990	91%	+26.4%	6.5%	31.3%	7.9%	0.96x	12.1x	12.5x
Dentsply Sirona XRAY	1,870	3,960	64%	−27.0%	-0.8%	49.5%	14.4%	1.09x	7.5x	7.7x
Envista NVST	3,740	4,200	76%	+11.6%	11.9%	55.4%	14.2%	1.47x	10.4x	11.4x
Zimmer Biomet ZBH	17,110	24,240	84%	−11.0%	8.6%	69.5%	29.7%	2.85x	9.6x	10.1x
Integer Holdings ITGR	4,300	5,640	100%	+22.9%	2.7%	26.1%	18.9%	3.06x	16.2x	13.9x
Solventum SOLV	14,950	19,850	93%	+20.3%	-0.9%	54.8%	13.7%	2.39x	17.4x	15.9x
Viemed Healthcare VMD	348	349	72%	+31.8%	25.2%	57.5%	18.5%	1.16x	6.2x	5.4x
Median			**81%**	**+5.9%**	**8.4%**	**54.9%**	**18.2%**	**2.62x**	**12.7x**	**13.2x**
PHARMACY & HEALTHCARE SERVICES										
Option Care Health OPCH	4,640	5,710	84%	+12.7%	5.9%	19.1%	7.1%	1.00x	14.1x	13.8x
BrightSpring BTSG	13,280	15,120	86%	+124.8%	26.4%	12.4%	4.4%	1.05x	24.1x	27.2x
Guardian Pharmacy Services GRDN†	2,670	2,620	87%	+76.2%	10.3%	21.6%	7.5%	1.81x	24.2x	20.7x
McKesson MCK	108,020	114,650	93%	+25.1%	8.8%	3.6%	1.7%	0.28x	16.1x	18.4x
Cencora COR	61,160	72,810	85%	+5.2%	5.1%	4.0%	1.7%	0.22x	13.0x	14.4x
Cardinal Health CAH	54,610	59,750	91%	+51.7%	14.2%	3.8%	1.7%	0.23x	14.0x	12.1x
CVS Health CVS	112,360	174,710	79%	+14.3%	7.4%	13.6%	4.0%	0.42x	10.4x	11.1x
AMN Healthcare AMN	1,350	1,770	94%	+85.2%	24.0%	27.8%	8.9%	0.51x	5.7x	8.1x
Median			**87%**	**+38.4%**	**9.6%**	**13.0%**	**4.2%**	**0.46x**	**14.0x**	**13.8x**
Total reference set median			**89%**	**+18.4%**	**8.4%**	**32.7%**	**15.2%**	**1.84x**	**14.0x**	**13.6x**

Source: StockAnalysis, retrieved October 7, 2026. LTM is the trailing twelve months. EBITDA is as reported. † Excluded from the EV to EBITDA medians because the multiple is above 60x, negative, or lacks eight quarters of history. n.a. marks a figure distorted by a divestiture.

Sources

The sources linked on each page, listed by page with the link text used.

03 HEALTHCARE M&A: STATE OF PLAY

PitchBook via Fierce Healthcare; PwC via MedTech Dive; Kaufman Hall; IQVIA; CMS; CMS outpatient rule; CMS home health; CMS rate notice; Medicaid.gov; Federal Reserve; US Treasury; PitchBook; GF Data via ACG; Altarum; CMS; Bureau of Labor Statistics; White House proclamation; iData Research; Nixon Peabody; BakerHostetler; PitchBook via Becker's ASC Review; IBBA and M&A Source

04 HISTORICAL MARKET CONTEXT

CMS; Committee for a Responsible Federal Budget; Kaufman Hall; Kaufman Hall, first quarter; second quarter; PitchBook; 2012 to 2022

05 STRONG FUNDAMENTALS SUPPORT CONTINUED ACTIVITY

FRED; Bureau of Labor Statistics JOLTS; FRED; FRED; FDA; RAPS; IQVIA

06 PERSPECTIVES ON FOUR SECTORS

Journal of Urgent Care Medicine; Becker's ASC Review; Healthcare Dive; HLTH; AMA survey via Medical Economics; Quest Diagnostics; Labcorp Form 10-Q; Association for Diagnostics & Laboratory Medicine; IQVIA; Medpace; Headlands Research; Summit Clinical Research

07 PERSPECTIVES ON FOUR SECTORS

Stryker; Steris; HFMA; Owens & Minor; McKesson; Barnes Dennig; IQVIA Institute; NCPA Digest; Guardian Pharmacy Services; BrightSpring; Staffing Industry Analysts

08 WHAT WE'RE READING

PitchBook via Fierce Healthcare; IQVIA; MedTech Dive; Drug Channels

10 HEALTHCARE SERVICES DEAL VOLUME HAS RESET

AMA; Q4 2025 Healthcare Services Report; PitchBook via Fierce Healthcare

12 SELECT RECENT HEALTHCARE M&A TRANSACTIONS

EyeCare Partners; Addus HomeCare; Bio-Techne; PE Professional; Medical Design & Outsourcing; Staffing Industry Analysts; Fierce Healthcare

13 BENCHMARK INTERNATIONAL'S HEALTHCARE TRANSACTIONS

Benchmark International; Benchmark International: Precise Bioscience; Benchmark International: Formulation Technology; Benchmark International: Fast Response On-Site Testing; Benchmark International: Critical Environments Professionals, certification division ; Benchmark International: Dental Holdings; Benchmark International: FosterBridge; Benchmark International: Medical Temps; Benchmark International: The Brooks Group and Associates

14 VALUATION MULTIPLES HAVE SHIFTED BY SECTOR

PitchBook via Becker's ASC Review; GF Data via ACG; IBBA and M&A Source; StockAnalysis

15 PUBLIC COMPANY STOCK PERFORMANCE: PAST 12 MONTHS

StockAnalysis

16 PUBLIC COMPANY OPERATING AND VALUATION METRICS

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17 EARNINGS AND COMMENTARY

Ensign Group; Medpace; Quest Diagnostics; Thermo Fisher Scientific; Stryker; HCA Healthcare; IQVIA earnings release; U.S. Physical Therapy; Addus HomeCare; McKesson; Steris; Tenet Healthcare; Henry Schein; Cardinal Health; Labcorp; Guardian Pharmacy Services; AMN Healthcare; Option Care Health; Cardinal Health

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